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TAB 12



Board of Education Report

File #: Rep-020-25/26, **Version:** 1**Agenda Date:** 8/26/2025**In Control:** Facilities

Consideration of a Business Improvement District Petition for Chinatown BID

Facilities Services Division

Brief Description:

(Consideration of a Business Improvement District Petition for Chinatown BID) Recommends the Board of Education authorize the Chief Facilities Executive and/or her designee to submit petitions, ballots, or related documents on behalf of Los Angeles Unified staff in support of renewing the Chinatown Business Improvement District (BID) Petition, contingent on securing a 50% or more discount in the proposed annual assessment.

Action Proposed:

Authorize the Chief Facilities Executive and/or her designee to submit a petition(s) and subsequently a ballot (s), and/or execute any other reasonable instruments on behalf of Los Angeles Unified in support of the renewal of the Chinatown BID Petition within the City of Los Angeles (City), conditioned upon the BID providing a discount of 50% or more of the proposed annual assessment.

Background:

A BID is formed when interested parties unite to propose a BID to serve a specific purpose for an identified geographic area. The BID proposal identifies the general services, activities, and programs to be paid for through special assessments charged to all property owners within the BID in order to equitably distribute the benefits received and costs incurred to provide the agreed-upon services, activities, and programs. BIDs provide enhanced services which may include private security patrols (often referred to as ambassadors), sidewalk cleaning and pressure washing, graffiti removal, landscaping, maintenance improvements, special events, BID branding and marketing.

Each BID develops an annual budget based upon the services provided. The amount of each property owner's assessment of the budget is typically based on a formula that includes the square feet of the parcel and its buildings, and linear foot of frontage of the parcel. The assessments are collected by the City, placed in a trust fund for each BID and funds are periodically released to support operations within the particular BID. A BID can range from three to 10 years in duration. In order to form a BID or renew a BID, a majority of the property owners (50.1%) in the BID area must affirmatively vote in support. BID petitions are submitted to the City Clerk for review and must receive approval by the Los Angeles City Council. Ballots are then mailed by the City to the property owners. In order for the BID to be approved, the City must receive a positive response from the majority of the ballots received.

Chinatown BID is seeking a renewal of its BID. The BID will need to submit the petition to renew and the City Council to approve the renewal. Subsequently, the City Clerk will distribute ballots to property owners to vote on the renewal. Chinatown BID is scheduled to renew as of January 2026. The Chinatown BID provides services including sidewalk and gutter sweeping, pressure washing, trash and bulky item removal, graffiti abatement, landscaping and beautification efforts, marketing and promotional programs, special event support,

and enhanced public safety patrols. LAUSD properties located within this BID primarily benefit from services related to trash and bulky item removal, graffiti abatement, street and sidewalk sweeping, and public safety patrols. These services contribute to cleaner, safer, and more welcoming environments for students, staff, and visitors.

Historically, Los Angeles Unified has negotiated and received a reduced special assessment for each BID in which it owns property. This is because public educational institutions like LAUSD are not direct commercial beneficiaries of BID services such as marketing, business development, or streetscape beautification. As such, the District has consistently worked with the City of Los Angeles and BID administrators to apply a discounted rate structure, one that reflects LAUSD's limited use of BID-funded services while still contributing a fair share for general maintenance and public safety benefits. Los Angeles Unified will continue to pursue similar reduced assessments for all future BID renewals to ensure fiscal responsibility while maintaining support for community development efforts.

The annual amount for the special assessment projected by the BID management teams for the Chinatown BIDs is approximately \$26,242.36. Board of Education (Board) authority to support the BID renewal would be conditioned upon the BID agreeing to a reduction in the assessment of at least 50% of the proposed amount in the Chinatown BID, which is approximately \$10,193.75 for 2026. If a BID does secure the required support, Los Angeles Unified would still be responsible for encumbering and paying the cost associated with the special assessments. Staff would still attempt to seek discount on the assessments.

BID	Term	*Proposed Assessment (2026)	Negotiated Discounted Assessment	Los Angeles Unified Properties within BID
Chinatown	2026-2035	\$26,242.36	\$10,193.75	Castelar Street Early Education Center, Castelar Street Elementary School, City of Angels

*Proposed assessment subject to annual increases based on the BID budget

The Chinatown BID is located in Region East and Board District 2 (Dr. Rocío Rivas).

Expected Outcomes:

Approval of the action will authorize the Chief Facilities Executive and/or her designee to execute the petitions in support of renewing the identified BID within the City, conditioned upon the BID providing a discount of at least 50% or more to Los Angeles Unified on the annual assessment, and the District to pay the annual assessment for each BID if the BID is renewed.

Board Options and Consequences:

A "Yes" vote by the Board will authorize the Chief Facilities Executive and/or her designee to execute the petition of the BID including all necessary agreements to confirm support of the BID, request the City Clerk to assess Los Angeles Unified an amount that is no more than 50% of the annual assessment, and provide the necessary General Funds to encumber the cost of the special assessment annually.

A "No" vote may result in the BID failing to obtain a majority affirmative vote of the property owners in the BID to be renewed. However, if the BID does secure the required support, Los Angeles Unified would still be responsible for encumbering and paying the cost associated with special assessments. Staff would continue to

seek a discount on the assessments.

Policy Implications:

Los Angeles Unified does not have a current policy with regard to BIDs. The proposed action advances Los Angeles Unified's 2022-2026 Strategic Plan Pillar 3 Engagement and Collaboration Leading for Impact by growing and leveraging partnerships with community-based organizations.

Budget Impact:

If successful in negotiating a discount on the assessment, the projected annual amount for the special assessment of this BIDs would begin at approximately \$10,193.75 in 2026, and would be subject to annual increases based on the BID's budget thereafter. The annual assessment for the BID will be provided by General Fund Business Improvement District Assessment Program 11477.

Student Impact:

Improve cleanliness and safety around the school perimeter and surrounding neighborhood.

Equity Impact:

A BID is a geographically defined area within the City, in which services, activities, and programs are paid for through a special assessment, which is charged to all members within the district in order to equitably distribute the benefits received and the costs incurred to provide the agreed-upon services, activities, and programs.

Issues and Analysis:

Article 13 D (Proposition 218) of the State Constitution states that "parcels within a Business Improvement District that are owned or used by any public agency, the State of California or the United States shall not be exempt from assessment unless the agency can demonstrate by clear and convincing evidence that those publicly owned parcels, in fact, receive no special benefit."

Los Angeles Unified is not obligated to support the formation or renewal of a BID. Regardless of Los Angeles Unified's support, if a BID is otherwise approved, Los Angeles Unified will be required to pay its special assessment unless there has been a formal determination that it is exempt.

The City has limited funding to provide certain services, and BIDs are able to supplement services that may benefit the community. Supporting a BID is voluntary by the Board, however Los Angeles Unified is obligated to pay the special assessment should the City Council vote to pass the BID petitions presented.

Attachments:

None

Submitted:

07/31/25

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